Measuring the generational economy of Austria
Gender-specific National Transfer Accounts for 2015

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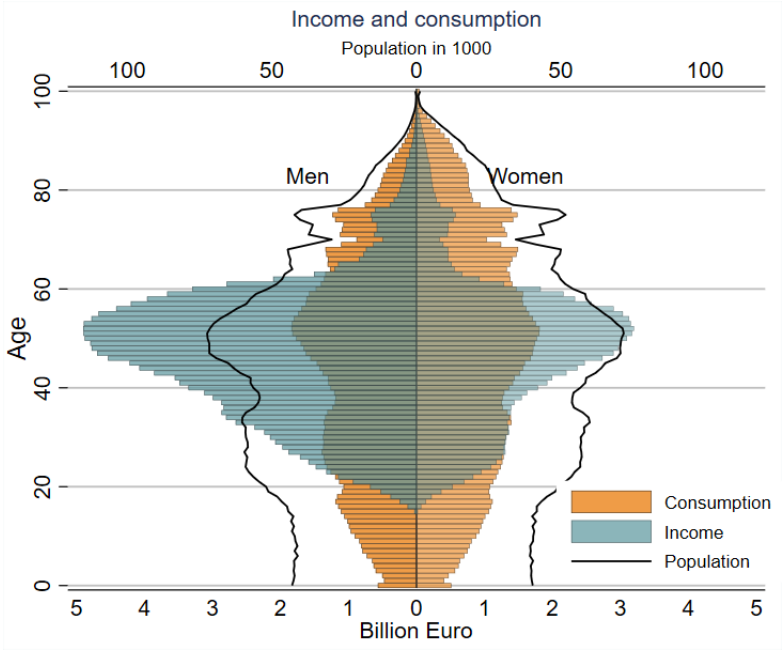

Abstract

This report describes the National Transfer Accounts (NTAs) for Austria 2015. These data provide detailed information on age and gender-specific income, the redistribution of income between age groups and genders, and its use for consumption and saving. Compared with Austrian NTAs from earlier years, the 2015 data provide additional details on gender and the role of families in the intergenerational transfer system.

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1 Introduction

This report describes the National Transfer Accounts (NTA) methodology and data for Austria 2015. Austrian NTAs provide information on income by age and gender, the redistribution of income between age groups and gender, and the use of disposable income for consumption and saving. The NTA concept and data aims at improving our understanding of the relation between the intergenerational redistribution and demographic, economic and social changes. Such understanding is of particular importance for Austria: the retirement of the baby-boom cohorts in the next two decades requires considerable changes in the intergenerational redistribution system.

NTAs are satellite accounts of National Accounts (NAs) that integrate the age and gender dimension into the NA framework. Additionally, NTAs measure intergenerational transfers within families. The NTA datasets consist of age profiles, which contain age-specific averages income, public transfers, private transfers, consumption and saving. While basic NTAs focus on age only, newer NTA data distinguish additionally by gender. A detailed description of the NTA methodology can be found in UN (2013), a general description and overview of the data in Lee and Mason (2011). So far there exist only NTA accounts for current (regular) flows; capital transfers such as bequests, capital gifts or dowries are not yet included in NTAs.

NTAs provide detailed information about the *generational economy*. Characteristic for modern societies are long periods of economic dependency in childhood and old age, when consumption exceeds own production. Three channels for financing the difference between consumption and production can be distinguished: private transfers, public transfers and the asset-based reallocation of resources. A transfer is defined as a transaction in which one person provides a good, service or asset to another person, without receiving from the latter any good, service or asset in return as counterpart (cf. SNA, 2009). Transfers in NTA include in particular public pensions and parents financing the consumption of their children. By definition, assets are instruments to reallocate current income to the future and to later stages in the life course. They play an important role for financing consumption in old age. The generational patterns of production, consumption and saving, together with institutions and mechanism for reallocating resources between generations and life stages, are referred to as *generational economy* (Lee and Mason, 2011). Gender aspects are an integral part of the generational economy. Care responsibilities for children lead to a specialization of mothers in childcare and unpaid household work and of fathers in market work. Economic differences between gender, such as the gender wage gap, are largely a result of these different roles in the family (Blau and Kahn, 2017).

Data on the generational economy improve our understanding of the relation between demography and economic & social developments. The demographic structure of Austria is shaped by a baby-boom in the 1960s. Each of these baby-boom cohorts aged 45-54 in 2015 consists of 130-145 thousand persons. By contrast, birth cohorts born after 2000 consist of less than ninety thousand persons. Because of the pronounced baby-boom, in 2015 Austria had with 56 per cent the fifth highest share of the population in prime working age (20-59) in the European Union. Until 2035 the share of the working age population is expected to decrease to 49 per cent, while the share of the population aged

60+ increases from 25 to 32 per cent.[2] The retirement of the baby-boomer between 2020 and 2035 constitutes a formidable challenge for the Austrian economy and the public transfer system.

NTAs for Austria have been compiled before for 1995, 2000, 2005 and 2010 (Hammer, 2014). Furthermore, Austria is included in the European NTA dataset for 2010 that has been generated within the AGENTA research project. The Austrian NTA data for 1995, 2000, 2005 and 2010 can be accessed at `www.ntaccounts.org`, the European NTA data at `www.wittgensteincentre.org/ntadata`.

Austrian NTAs for the year 2015 improve the gender-specific estimates and the estimation of transfers within households. The basic NTA methodology requires assumptions and methods that may bias gender-specific results considerably, such as the assumption that the household head owns all assets and receives all asset income. However, data from the Eurosystem Household Finance and Consumption Survey (HFCS) indicates, that most couples share their assets equally. The Austrian NTAs for 2015 adapt the methodology to a gender-specific estimation of NTAs by dropping the household head assumption. Furthermore, the estimation of intra-household transfers is based on micro-data that combines information on income and consumption at household level. This enables the estimation of private transfer inflows and outflows, while the methodology used in earlier versions allowed only the estimation of net-transfers. Additionally, data quality in NTAs for 2015 is improved by basing most of the age and gender-specific information on income and public transfers on data from the tax statistics rather than survey data.

2 The Sequence of National Transfer Accounts

The estimation of NTAs distinguishes three steps. First, aggregate values are derived from NAs and related sources. The term *aggregate value* refers to the quantities for the total economy, i.e. total labour income or total consumption in Austria 2015. In the second step the distribution over age groups and gender is estimated using a wide range of survey- and administrative data. All age profiles are adjusted by an appropriate factor, so that the per-capita averages for each age group summed up over the total population match the aggregate values. Likewise, gender-specific averages are adjusted so that the sum of men and women in each age group equals the age group total. In a third step NTAs estimate transfers between members of the same household, e.g. from parents to children. Estimates of these flows are based on micro data only, they are not captured in aggregate economic data.

Introducing a demographic perspective requires some conceptional changes in NTAs compared to the NA core system. The units that are analyzed in NTAs are individuals. They constitute the equivalent to institutional units (e.g. households) in NAs. Thereby NTAs capture transfer flows between the members of the same household. By contrast, NAs capture only flows between households. Furthermore, NTAs distinguish only between the private sector and the public sector, the former of which contains households, firms and non-profit institutions serving households (NPISH).

NTAs measure all quantities by their net value at basic prices. In NAs the term *gross* refers to the

[2] Source: Eurostat. Population by age and Europop population projections

quantities including the consumption of fixed capital, e.g. in gross domestic product, gross national income and gross saving. However, the consumption of fixed capital is part of the production costs and should not be included in an income measure. NTAs therefore use the net values. Furthermore, the classification of taxes on products as transfer from the private to the public sector requires the measurement of income and consumption at basic prices[3], i.e. without taxes less subsidies on products.

The construction and presentation of Austrian NTAs for 2015 deviate slightly from the methodology proposed in the manual (UN, 2013). We try to use the available data in the best possible way and maintain an as-close-as-possible relation with the quantities in the European System of Accounts (ESA), the NA accounting system of the European Union (European Union, 2013). However, few adjustments enable a direct comparison of Austrian NTAs with the data from other countries. The largest difference is the mixed income as separate income component in Austrian data, which is usually distributed to labour and asset income in NTAs. Comparable NTA data for Austria 2015 is provided at `www.ntaccounts.org`.

Austrian NTAs are presented as a sequence of accounts, like the sequence of accounts in ESA. It starts with the generation of income account, providing information on the types of primary income by age and gender. The income account is followed by the transfer accounts, capturing contributions to the public transfer system, benefits, as well as private transfers within households. The use of disposable income account measures the age and gender-specific use of resources for consumption and saving. The accounts are linked with balancing items that carried forward to the next account in the sequence. Table 1 provides an overview of the sequence and the aggregate values. The main role of the public sector in NTAs is the organization of the public transfers between households of the national economy. However, part of the revenues is used for paying interest on public debt and transfers to the rest of the world sector. These flows are captured in the sequence of accounts for the public sector (Table 2).

[3]The basic price is the price receivable by the producers from the purchaser for a unit of a good or service produced as output minus any tax (i.e. taxes on products) payable on that unit as a consequence of its production or sale, plus any subsidy (i.e. subsidies on products) receivable on that unit as a consequence of its production or sale. (European Commission, 2013)

Table 1: The sequence of National Transfer Accounts for the private sector: aggregate values

NTA variable	**Abbreviation**	**Aggregates in Mio Euro**
	Income account	
Labour income	YL	162,458
Asset income	YA	51,549
Self-employment	YS	17,048
Rental income	YR	13,725
Primary income	*Y*	*244,780*
	Transfer accounts	
Public transfer contributions	TGO	
Primary income	*Y*	*244,780*
- Taxes on labour	TGYL	-69,938
- Taxes on income from self-employment	TGYS	-8,643
- Taxes on asset income	TGYA	-14,849
- Consumption taxes	TGC	-37,423
Net primary income	*YN*	*113,927*
Public transfer benefits in cash	TGIC	
Net primary income	*YN*	*113,927*
Pensions	TGSOAIC	38,686
Disability and sickn.	TGSDIC	4,690
Family & children	TGSFIC	7,038
Unemployment	TGSUIC	4,293
Other social transfer	TGSXIC	191
Other public transfers	TGXIC	2,799
Private transfers between househ.	TFB	12
Disposable income	*YD*	*171,636*
Intra-household transfers		
Adj. disp. income	*YD*	*237,109*
Intra-household trans.	TFW	0
Final disposable income	YDF	237,109
Public consumption/benefits in kind	CG	
Final disposable income	*YDF/YD*	*171,636*
Health	CGH	22,068
Education	CGE	15,568
Other social trans.	CGS	5,501
Other	CGX	22,336
Adjusted final disposable income	*YDFA/YDA*	*237,109*
	Use of disposable income account	
Adjusted final disposable income	YDFA	*237,109*
Public consumption	CG	-65,473
Private consumption	CF	-146,699
Net saving	*SF*	*25,046*

Table 2: The sequence of National Transfer Accounts for the private sector: aggregate values

Public sector		
NTA variable		**Mio**
Primary (asset) income	*YAG*	*-2,861*
Taxes and social contributions	TGF	130,853
- Cash transfers to private sector	TGIC	-57,697
Transfers from rest of the world	TGNF	-3,143
Disposable income	*YGD*	*67,152*
- Consumption	CG	65,473
Net saving	SG	1,678

3 Income

The income account in NTAs captures age and gender-specific primary incomes by type. Primary income refers to income generated by direct participation in the production process and income received by the owners of assets. Austrian NTAs distinguish between income from employment (labour income), income from self-employment, asset income and rental income.

Data sources

The ESA equivalent of labour income is the compensation of employees (D1)[4], which includes all types of remuneration for work, including the social contributions paid by employers. Income from self-employment is the equivalent of mixed income (B3) in ESA. This type of income is "mixed", as it includes element of remuneration for work done by the owner and the return to the owner as entrepreneur. In NTAs mixed income is usually separated into one part that is assigned to labour and another part treated as asset income. Because this separation is based on arbitrary rules, we keep it as distinct income component. Asset income in NTAs consists mainly of the operating surplus (B2) of corporations. Rental income is a type of asset income that plays a significant role for a large share of households. Its ESA equivalent is the operating surplus of households, including mainly the value of housing services produced for own consumption by owner-occupiers.

The allocation of income from employment and self-employment to age groups and gender is based on the integrated statistics of the wage and income tax (Statistik Austria, 2015). We refer to these data simply as tax statistic. For the allocation of asset income to age groups and gender we use information on the stock of net wealth in wave 2 of the the Eurosystem Household Finance and Consumption Survey (HFCS), excluding the household main residence and real business wealth owned by household. Income form the latter types of assets is captured in rental income and mixed income, respectively. Unfortunately, the Austrian HFCS provides only information on who in the households owns the assets for total assets, not by type of assets. However, the exact method of allocating assets to household

[4]We add to all quantities referring to ESA their respective ESA short-codes. The most important part of the code is the first letter, with P referring to production, D to distributive transactions and B to balancing items. A complete list of these codes can be found in (European Commission, 2013, p.513–p.519)

members has little effect on the age and gender-specific results, most households share assets equally among the adult members. Estimates of age and gender-specific rental income are based on EU-SILC and the information who in the household is responsible for housing. The summary measure or "balancing item" of the NTA income account is *primary income*, which corresponds largely to the balance of primary incomes (B5) in ESA.

Table 3: Data sources for the NTA income account

NTA variable	**Abbreviation**	**Aggregate values (ESA)**	**Age-allocation**
Labour income	YL	Compensation of empl. (D1);	Tax statistic
Asset income	YA	Net operating surpl. of corp. (B2) + property income (D4);	HFCS
Self-employment	YS	Mixed income (B3);	Tax statistic
Rental income	YR	Net operating surpl. of househ. (B2);	EU-SILC, tax statistic
Primary income	Y	Balance of primary incomes (B5);	

Results

Austria is characterized by a strong increase in average income by age and large income differences by gender (Figure 1). Austrians enter the labour from age 15 onwards. The average income of men increases with their age to about seventy thousand Euros at age 55. It decreases strongly at age 60-64, when most men retire. For women, maternal leave and the reduction in employment is reflected in a flat income age-profile between age 25 and 35. Because of lower wages and many women working part-time after maternity leave, average primary income of women stays well below the income of men with slightly more than forty thousand Euros at age 40-55. Women in Austria retire considerably earlier than men, most of them at age 60 or before.

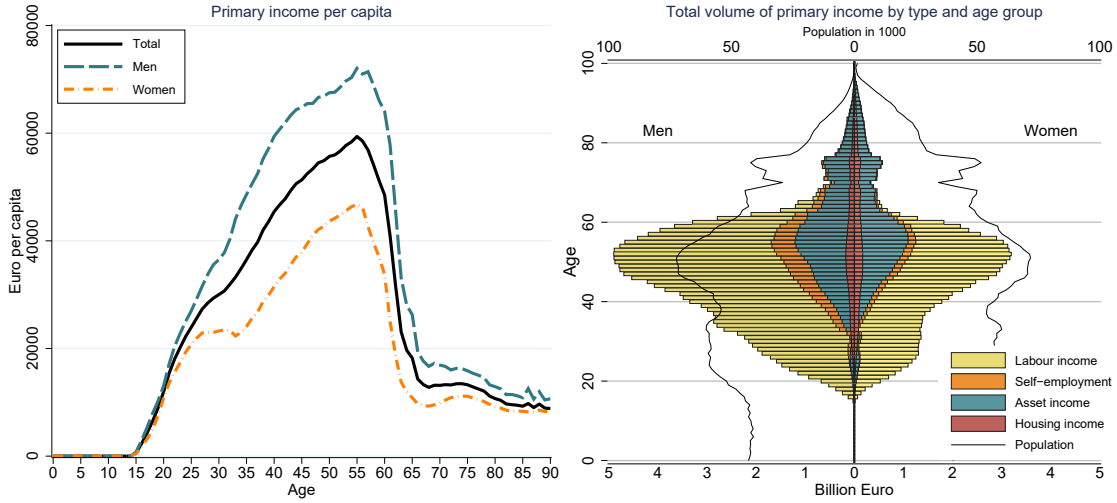

Figure 1: Age and gender-specific primary income, Austria 2015

The baby boomer at age 45-54 generated almost one third of total income in Austria in 2015. Economic population pyramids plot the total volume of economic quantities by age groups and gender

(1, right panel). About 84 per cent of total income is generated by the population aged 20-59. These values increases to 91 per cent if the population at age 60-64 is included. The peak at age 50 is the combined result of the high income of this age group and the size of these baby boom cohorts. In total, the baby boomer alone generated about 32 per cent of total income in Austria. The income differences between men and women are also reflected in aggregate data: in 2015 men generated about 62 per cent of total income.

4 Transfers

4.1 Public transfer contributions

Transfer contributions consist of taxes and social contributions paid by the private sectors to the public sector.

Data sources

In ESA public transfer contributions are captured as social contributions (D61), taxes on income and wealth (D5), taxes less subsidies on products (D21 less D31) and other taxes on production (D39 less D29). For Austrian NTAs, total contributions are divided according to the tax base, using data on the tax structure (European Commission, 2019). It distinguishes taxes on labour, taxes paid by self-employed persons, capital taxes and consumption taxes. Taxes paid on transfer benefits, such as taxes on pensions, are not treated as transfer contributions in Austrian NTAs. Instead, to maintain the balance, public benefits are captured net of taxes.

For assigning taxes and social contributions to age groups and gender we mainly use the data of the tax statistics. Not captured in the tax statistic are capital taxes, for which we use the same age profiles as for asset income. We refer to income after accounting for taxes and social contributions as *net primary income*.

Table 4: Data sources for NTA public contributions

NTA variable	**Abbreviation**	**Aggregate values (ESA)**	**Age-allocation**
Labour	TGYL	Taxes on prod. and imports less	Tax statistic
Self-employment	TGYS	subsidies (D21 D29 D31 D39),	Tax statistic
Capital and capital income	TGYA	taxes on income and wealth (D7)	HFCS
Consumption taxes	TGC	and social contributions (D61);	CES 2014/15
		Allocation to tax base:	
		European Comission (2019)	

Results:

Age and gender-specific public transfers resemble the distribution of income, except that also persons without primary income pay consumption taxes. Men between age 40 and 60 pay more than 30,000 Euros on taxes and social contributions per year. Women pay considerably less because of their lower income: at age 50-55 public contributions reach about 20,000 Euros, on average.

Taxes and social contributions amounted to 53.5 per cent of primary income in 2015. The most important tax base is labour, representing 53 per cent of total tax revenues. Consumption taxes represented 29 per cent of total tax revenues. Labour taxes are high in Austria, also by international standards: in 2015, taxes on labour to corresponded 24.4 per cent of GDP, the second highest rate among the EU member countries. The total tax burden amounted to 43.2 per cent of GDP, well above the EU-average of 38.5 per cent (European Commission, 2019). About 87 per cent of total taxes and social contributions are paid by the population 20-64, and about 29 per cent by the baby boomer at age 45-54. In total, men pay about 62 per cent of total taxes and social contributions.

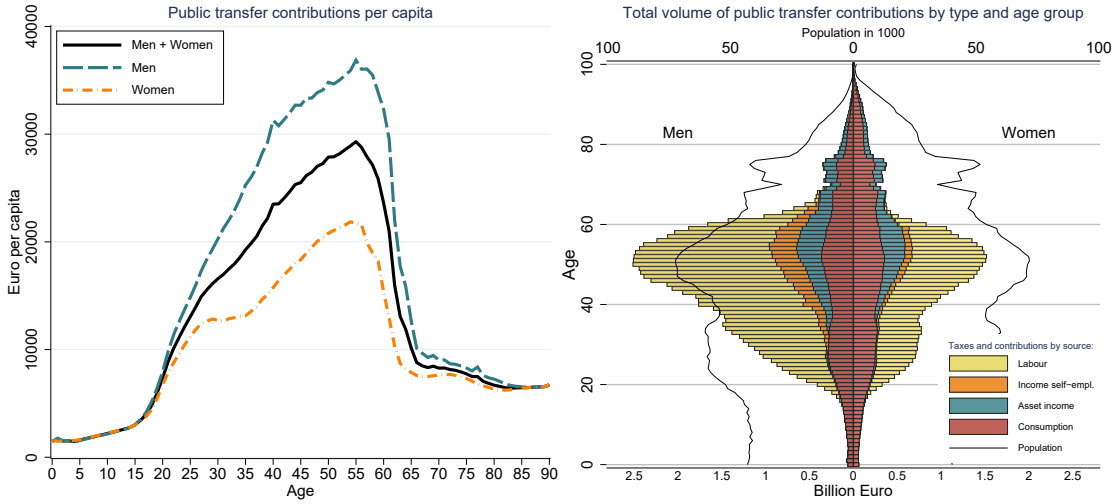

Figure 2: Age and gender-specific taxes and social contributions by source, Austria 2015

4.2 Public benefits in cash

The most important components of public transfer benefits in cash are pensions, family benefits, unemployment benefits and care benefits.

Data sources:

Public transfer benefits in cash consist mainly of social benefits (D62). Austrian NTAs distinguish public benefits according to the Classification of the Functions of Government (COFOG), which

is consistent with NAs.[5] The aggregate values for each transfer programme are calculated using additionally the European System of Integrated Social Protection Statistics[6]. For example, benefits in the category family and children is the sum of maternity allowances (Wochengeld), childcare benefits (Kinderbetreuungsgeld), child benefits (Kinderbeihilfe) child allowance (Kinderabsetzbetrag) and other benefits in this category. Net primary income plus the benefits in cash is referred to as *disposable income* (B6), corresponding to the balancing item of the redistribution of income account in ESA. The estimates of the age and gender-specific values of public benefits in cash are mainly based on data from the tax statistic.

Table 5: Data sources for NTA public transfer benefits in cash

NTA variable	Abbreviation	Aggregate values (ESA)	Age-allocation
Pensions	TGSOAIC	Social benefits (D62) and	Tax statistic
Disability and sickn.	TGSDIC	other current transfers (D7);	Tax statistic
Unemployment	TGSUIC	Distinction by function	Tax statistic
Family & children	TGSFIC	according to COFOG	Tax statistic, fertility data
Other social transfer	TGSXIC		Equal shares to total population
Other public transfers	TGXIC		Assigned to all adults
Private transfers	TFB	Private net trans. from abroad;	Assigned to all adults
Disposable income	YD	Disposable income (B6);	

Results:

Public cash benefits are mainly directed at the older population with pensions as most important component. Age-specific public benefits per capita are characterized by a small peak for women in childbearing age, because they receive most of the family benefits. During working age average cash benefits per person are comparably low with values around 4,000 Euros. Between age 55 and 64 average benefits increase to 15,000 Euros for women and about 25,000 Euro for men. Average cash benefits peak in old age, as most persons in older age group 80+ receive care allowances.

In total, the population aged 60+ receives 69 per cent of total public cash benefits. The working age population aged 20-59 receive 30 per cent, for children public cash transfers are negligible. Women receive about 51.5 per cent of total public transfers. While men receive higher pensions per capita, women receive more of the transfers in the category family and children. Furthermore, and the number of women in older age groups is considerably higher than the share of men due to their higher life expectancy.

[5]Eurostat: General government expenditure by function (COFOG) [gov_10a_exp]. Details on COFOG methodology are provided in (European Union, 2019).

[6]Source: Sozialministerium. European system of integrated social protection statistics.

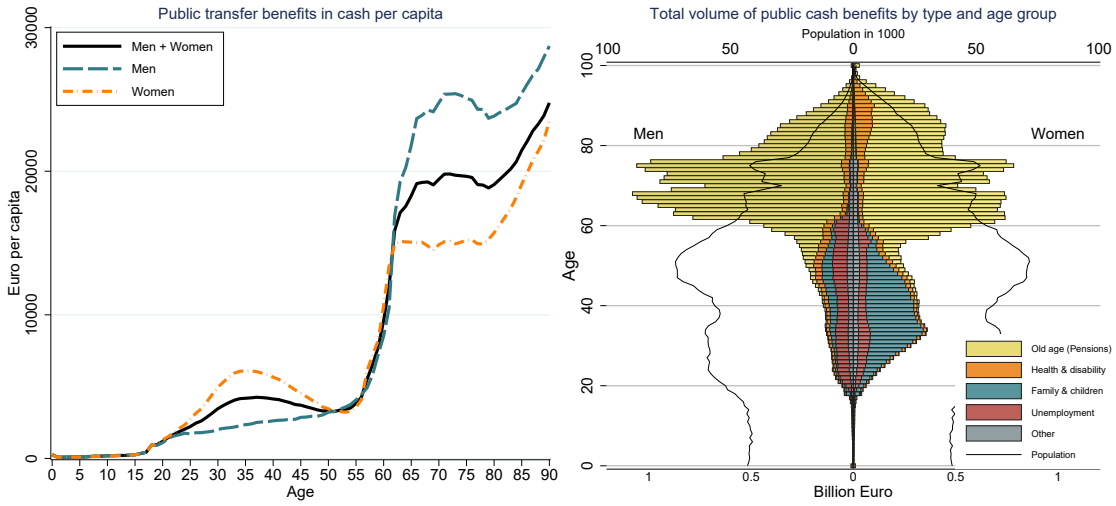

Figure 3: Age and gender-specific public transfer benefits in cash, Austria 2015

4.3 Private transfers

Private intra-household transfers consist of transfers of money as well as of transfers of goods and services bought on the market. Intra-household transfers are not captured in ESA and they do not affect the aggregate income, because transfers paid equal the transfers received within each household and for the total economy.

Data sources and methodology

For calculating intra-household transfers Austrian NTAs assume that consumption of household members is financed by other household members if their own income is not sufficient. If total consumption of households exceeds income, the difference is financed by dissaving of the adult household members. Income exceeding consumption after financing the consumption of the other members is distributed over all adult members and saved. This assumption takes into account that assets are shared among partners.

Estimates of intra-household transfer require micro data including information on disposable income and consumption at individual basis. We generate such data by imputing information on consumption in EU-SILC. The CES 2014/15 is used to estimate the relation between consumption expenditure of a household, its demographic characteristics and its income. This model is then used to impute the information on consumption into the EU-SILC sample. The individual data are then adjusted, so that age and gender specific values correspond exactly to income and consumption as calculated in the NTA accounts. More details about the methodology are provided in

Results

Intra-household transfer represent mostly transfers from parents to children (Figure 4). Net transfers, calculated as contributions less benefits, peak around age 15 with mean values of more than 10,000 Euros. At this age young persons have high consumption levels but are still dependent on their parents. With the entry into the labour force, and increasing income, the net intra-household transfers (benefits less contributions) decline strongly. Contributions peak at age 35-50 with a level of about 7,000 Euros, resulting in low levels of net transfers. Average contributions at age 35-50 amount to about 5,000 Euro for women and more than 10,000 for men, reflecting the differences in income.

Total private intra-household transfers amount to 41 billion Euros or 17 per cent of primary income. Of these transfers are 20 billion Euros or 47 per cent of intra-household directed to the population 0-24. Note that the rest of the transfers are mostly between partners as result of income differences. These differences are largely a consequence of women reducing paid work due to care responsibilities. Because of their higher income, about 71 per cent of total intra-household transfer contributions are provided by men.

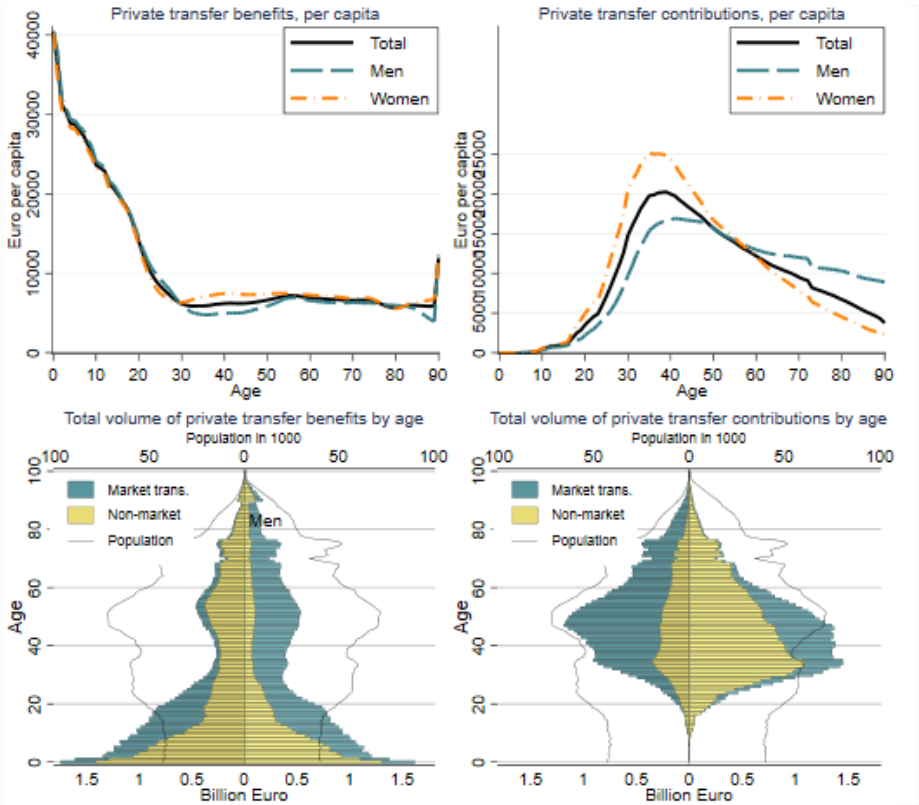

Figure 4: Intra-household transfers, Austria 2015

5 Consumption

5.1 Public consumption/benefits in kind

In NTAs, all final consumption expenditure of the public sector is treated as in-kind transfers to individuals. It includes individual and collective public consumption.

Data sources

The in-kind transfers include individual consumption (P31), such as health and education, but also collective consumption (P32), such as expenditure on legislative and executive organs, public order or transport. *Adjusted disposable income* refers to disposable income plus benefits in kind. Likewise, *Adjusted final disposable income* refers to final disposable income plus benefits in kind. Note that adjusted disposable income in Austrian NTAs include public in-kind transfers in form of collective consumption, while the corresponding quantity in ESA (B7) includes only individual consumption.

The age and gender-specific estimates for in kind services use a range of different sources. For distributing health services to age groups and gender we we use data on performance orientated hospital financing[7] and social insurance data for non-stationary expenditure. Education expenditure is allocated to age and gender based on the age and sex-specific number of students enrolled by education level[8] and data on education expenditure by education level[9]. Public in-kind transfers in the social protection category family&children, unemployment and disability are distributed to age and gender according to the corresponding cash transfers. Collective public consumption cannot be assigned to certain age groups and gender in a meaningful way. It is assumed that each person receives the same amount, independent of age and gender.

Table 6: Public consumption/benefits in kind

NTA variable	**Abbreviation**	**Aggregate values (ESA)**	**Age-allocation**
Health	CGH	Final consumption (P3) of government (P3);	Data on hospital financing and non-stationary health
Education	CGE	Distinction by function according to COFOG	Enrollment by age and level, expenditure by level:
Social benefits in kind	CGS		Same-category cash transfers
Other	CGX		Not age and gender-specific
Adjusted disposable income	YDA/	Adj. disp. income (B7) + collective cons. (P32);	

[7]Sozialministerium: Leistungsorientierte Krankenanstaltenfinanzierung
[8]Eurostat: pupils and students enrolled by education level, sex and age. Table educ_uoe_enra02
[9]Statistik Austria: ffentliche Bildungsausgaben nach ISCED 2011 nach Bildungsbereichen 2012 bis 2016

Results

Public consumption peaks at age 15 because of education, and in old age due to high consumption of public health and care services. The consumption of publicly provided services amount to almost 15,000 Euros at age 15, because of high average expenditure for education. Only minor public services are targeted specifically at the population in working age, such as training programmes in case of unemployment. However, even at age 30-50 the consumption of public services amounts to about 5,000 Euro per person. The consumption of public health services increases with age, resulting in consumption of publicly provided goods of more than 10,000 Euros after age 75. Women consume more public health services during childbearing age. However, average health consumption is higher for men. Consumption increases at from age 80+ mostly due to the high expenditure for public care and health services.

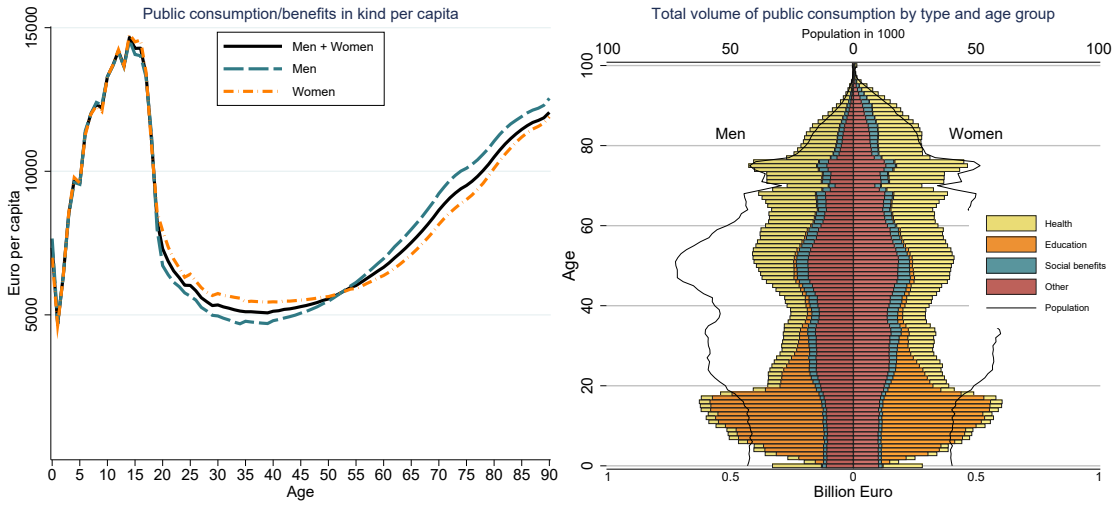

Figure 5: Public consumption/benefits in kind, Austria 2015

With education the public sector provides an important consumption good, or better investment good, to children. In total 29 per cent of total public services are consumed by children. 29 per cent by the population 60+ and 42 per cent by the population 20-59. Because there are only small gender differences in public consumption the distribution to men and women reflects largely their total share in the population.

5.2 Private consumption

Private consumption shows each age groups uses final disposable income for the purpose of saving.

Data sources

Private consumption in NTAs correspond to final consumption (P3) of households and NPISH in ESA. The allocation of private consumption to age groups and gender is based on the consumer expenditure survey 2014/15.[10] The consumer expenditure survey captures expenditure at household level. For distributing consumption to household members, NTAs use an equivalence scale. This scale describes the share of total consumption of a household in adult equivalents. It is assumed all household members of age twenty and older consume the same amount. Children until age of four consume 40 per cent of an adult and expenditure increase linearly between age four and age 20. Age and gender specific consumption is calculated after distributing total consumption of an household to its members according to these scale. The remaining income after consumption is *net saving*. Net saving in NTAs equal net saving (B8) in ESA.

Results

Private consumption peaks at age 60-70. The lower private consumption in childhood reflects the NTA assumption that children consume less than adults and consumption increases until age 20. Private consumption at age 20-50 is constant at level of about 18,000 Euro. The increasing income in young working age is used for the growing consumption needs of own children living in the household, rather than the consumption of the parents themselves. The peak in private consumption from age 50 to age 70 reflects the larger amount of disposable income, due to high income and children leaving the household of the parents.

Table 7: Data sources for NTA consumption and saving

Public consumption	(cf. public transfers in-kind)	(cf. public transfers in-kind)
Private consumption	Final consumption of private sectors (P3)	CES 2014/15
Net saving	Net saving (B8)	Residuum

In total, the population 0-19 consumes 10 per cent of total, the working age population 60 per cent and the older population 30 per cent of total consumption. However, the consumption of children is largely determined by our assumption of their share on total household consumption. Because NTAs assume equal sharing of consumption within households and little gender differences in public transfers, the gender differences in consumption are small: men consume 48.5 percent of total, representing exactly their population share.

[10] Source: Statistik Austria, Konsumerhebung 2014/15.

Figure 6: Age and gender-specific consumption, Austria 2015

6 Saving

Methodology and data sources

Age and gender-specific saving is calculated as residual, by subtracting consumption from final disposable income. We want to stress that beside saving this residual captures everything that is not accounted for in the accounts, most notably transfers between households. NTAs measure current transfers, but not capital transfers, i.e. larger, irregular transfers such as bequests. When young persons receive such transfers, they can increase their consumption relative to their income. Furthermore, for Austrian NTAs we decided not to estimate private transfers between households. There is simply no data of sufficiently good quality that would allow an estimation of size and direction of these flows. Consequently, saving residual of the Austrian NTAs for 2015 captures saving and transfers between households.

Results

The saving residual is close to zero for ages until about 35. This pattern does not mean that young persons do not accumulate net wealth. The low values are a consequence of young persons financing part of their consumption via capital transfers from parent or grandparents or via regular transfers between households that are not captured in NTA. The saving residual increases from age 40 onwards and peaks around the age of 60. These age groups have the highest income, while the need of transfers to children decreases. After a decline at age 60-69 saving increases again in old age. The older population receives high income, because of care allowances in cash. However, we cannot observe that they actually consume more. The consumption expenditure survey ends at age 85 and a share of the population is living in institutional households that are not included in the consumer expenditure

survey. We assign half of care allowances to consumption by assumption. Still, most of the income of the older population ends up in the saving variable.

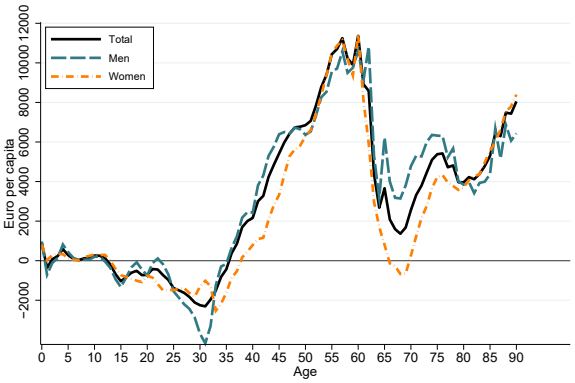

Figure 7: The saving and inter-household transfer residual, Austria 2015

7 The public sector

The account for the public sector shows, how it uses taxes and social contributions. Most of the revenues are distributed by public transfers. However, part of the revenues are used for paying interest on public debt, paying transfers to the rest of the world sector and for saving and investment.[11]

Table 8: NTA account for the public sector

Mio Euro	NTA variable	Aggregate values (ESA)	Age-allocation
-2 861	**Primary income**	Mainly property income (interest)	
140 224	Taxes and social contributions	see public transfer contr.	
-67 173	Cash transfers to private sector	see public benefits	
-3 143	Transfers from rest of the world	Net transfers from ROW	
67 047	**Disposable income**		
65 473	Consumption	see public transfers in kind	
1 574	**Adj. disposable income**		
1 678	**Net saving**		

8 Further information

Austrian NTA data can be accessed via the Austrian Social Science Data Archive (AUSSDA). For more detailed information please contact bernhard.hammer@oeaw.ac.at.

[11] The NTA manual suggests a slightly different way of presenting the accounts for the public sector, by forcing total transfer contributions paid to the public sector equaling total transfer benefits. The difference is captured in an NTA-specific variable *transfer deficit/surplus*. This variable contains asset income and saving of the public sector.

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